

CHAPTER - 1

Introduction

The law of Contract lays down the legal rules relating to promises, their formation, their performance and their enforceability. **It is based on the Latin phrase “Pacta sunt servanda” which means agreements/pacts must be kept.** This Act is based mainly on English common law consisting of judicial precedents. The Act is not exhaustive as it does not deal with all the branches of the law of contract

PURPOSE OF INDIAN CONTRACT ACT

The purpose of Indian Contract Act is to regulate the parties to perform the contract. But this is not in the case of forceful contract. The Contract Act make sure that whoever is entering into a contract must enter with the intention of performing it and the conditions attached to it. So, the purpose of Contract Act is to do equity between the parties by providing remedies to the party who is not at fault and restoring their original position.

INDIAN CONTRACT ACT

1. Sections 1-75 (General provisions)
2. Sections 76-123 (Repealed and gone in Sale of Goods Act, 1930)
3. Sections 124- 238 (Special Contracts)
4. Sections 239- 266 (Repealed and gone in Indian Partnership Act, 1932)

BREAKDOWN OF CONTRACT ACT

1. Offer + Acceptance = Promise
2. Promise to do or not to do something + something in return = Consideration

3. Promise + Consideration = Agreement
4. Free consent + Competent parties + Lawful consideration + Lawful object + Not expressly hereby declared to be void = Enforceable by law.
Agreement + Enforceable by law = Contract

What is a Contract?

Section 2 (h) of the Indian Contract Act, 1872, defines the term Contract. It is an agreement enforceable by law.

Next question which arises before us is that what is an Agreement.

Section 2 (e) defines Agreement as “every promise and every set of promises, forming the consideration for each other, is an agreement.” **Thus, Agreement = Offer + Acceptance + Consideration.**

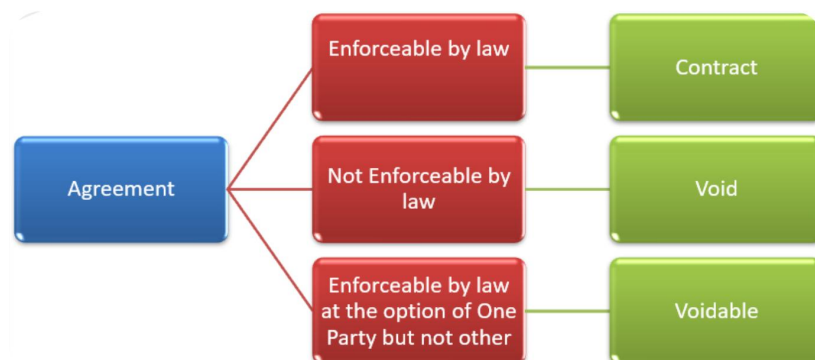
Section 2 (b) of the Indian Contract Act, 1872, defines the term Promise.

When the person to whom the proposal is made signifies his assent thereto, the proposal is said to be accepted. A proposal, when accepted, becomes a promise.

Characteristics of an Agreement:

- **Plurality of persons:** There must be two or more persons to make an agreement.
- **Consensus-ad-idem:** Both the parties to an agreement must agree about the subject matter of the agreement in the same sense and at the same time.

Types of Agreements:



Please Note: An agreement is a wider term than a contract. Every Contract is an Agreement but every agreement is not a contract.

Essential of a contract

Essentials of a Valid Contract:

- Offer and acceptance
- Free consent
- Lawful consideration
- Agreement not expressly declared void
- Possibility of performance
- Intention to create legal obligations
- Capacity of parties to contract
- Lawful object.
- Certainty of meaning
- Legal formalities

(1) Lawful Offer and Acceptance

There must be a lawful offer and a lawful acceptance of the offer, thus resulting in an agreement. The adjective lawful implies that the offer and acceptance must satisfy the requirements of the Contract Act in relation thereto.

(2) Intention to create legal obligation

There must be an intention among the parties that the agreement should be attached by legal consequences and create legal obligations.

Please Note: Agreements of a social or domestic nature do not contemplate legal relations, and as such they do not give rise to a contract

Illustration: A and B agree to go to a movie on coming Sunday. A does not turn in resulting in loss of B's time B cannot claim any damages from B since the agreement to watch a movie is a domestic agreement which does not result in a contract.

Case law: Balfour v. Balfour

Facts in brief: A husband promised to pay his wife a £30 per month allowance. The wife sued her husband to enforce the promise.

Held: Agreements between husband and wife to provide monies are generally not contracts because generally the parties do not intend that they should be attended by legal consequences.

Please Note: In case of commercial agreements, the laws presume that the parties had the intention to create legal relations.

(1) Lawful Consideration

As a general rule, an agreement without consideration is void. Consideration can be understood as the price paid by one party for the promise of the other.

Please Note:

1. Consideration must be real and not illusory.
2. Consideration need not be adequate.

Section 23 of the Indian Contract Act, 1872, tells us about what considerations and objects are lawful. According to Section 23 the consideration is unlawful if:

it is forbidden by law;

it would defeat the provisions of any law

It is fraudulent in nature;

It involves or implies, injury to the person or property of another;

The Court regards it as immoral, or opposed to public policy

(2) Capacity of parties

The parties to an agreement must be competent to contract otherwise it cannot be enforced in the court of law.

Every person is competent to contract who is:

- Of the age of majority according to the law to which he is subject, and
- Of sound mind, and
- Not disqualified from contracting by any law to which he is subject.

(3) Free Consent

Two or more persons are said to consent when they agree upon the same thing in the same sense. Consent is said to be free when it is not caused by coercion, undue influence, fraud, misrepresentation or mistake.

Mere consent is not enough for a valid contract, the parties should enter into a contract with free consent.

(4) Lawful object

For the formation of a valid contract, it is also necessary that the parties to an agreement must agree for a lawful object.

The object should not be forbidden by law, fraudulent, or opposed to the public policy.

(5) Agreement not expressly declared void

The agreement should not be expressly declared to be void under the Act. Section 24 to 30 deals with the void agreements.

Section 24: Agreement void, if considerations and objects unlawful in part.

Section 25: Agreement without consideration, void.

Section 26: Agreement in restraint of marriage, void.

Section 27: Agreement in restraint of trade, void.

Section 28: Agreements in restraint of legal proceeding void.

Section 29: Agreements void for uncertainty.

Section 30: Agreements by way of wager, void

(6) Certainty of meaning

The terms of the agreement must not be vague or uncertain (Section 29). It must be possible to ascertain the meaning of the agreement, for otherwise, it cannot be enforced.

Illustration:

A agrees to sell to B "a hundred tons of oil". There is nothing whatever to show what kind of oil was intended. The agreement is void for uncertainty.

A agrees to sell to B "my white horse for rupees five hundred or rupees one thousand". There is nothing to show which of the two prices was to be given. The agreement is void.

(7) Possibility of performance

The agreement must be capable of performance (Section 56). An agreement to do an impossible act is void.

Illustration:

(a) A agrees with B to discover treasure by magic. The agreement is void

(b) A and B contract to marry each other. Before the time fixed for the marriage. A goes mad. The contract becomes void.

(8) Legal formalities

A contract may be oral or in writing. But in certain special cases the Act lays down that the agreement, to be valid, must be in writing or/ and registered, viz. an agreement to make a gift must be in writing and registered (Sec. 25). Any other law may also require a contract to be in writing or to be made in the presence of witnesses, or to be registered